INDIAN ECONOMY — ECONOMIC REFORMS

SSC EXAM

New Industrial Policy, 1991

Background • De-licensing • Disinvestment • FDI • LPG

*India's **latest** industrial policy — no new one introduced since 1991 | born out of the **1990 Balance of Payments crisis***

🔴 Headings & Definitions 🔵 Explanations 🟡 Highlighter = Key Facts 🎯 Exam Tip ❌ Common Mistake 🧠 Memory Trick

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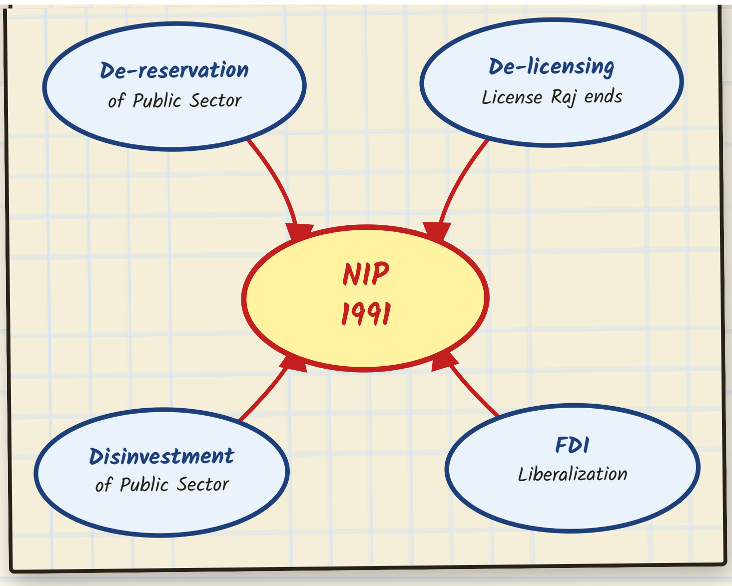
Why Reforms in 1991?

The New Industrial Policy, 1991 is India's **latest** industrial policy — no new industrial policy has been introduced since then. In 1990, India faced a **Balance of Payments (BoP) crisis**. This forced a rethink: the economy's "over-caring parent" (the government) realised that over-caring wouldn't work anymore, and the economy had to be **reformed**.

💡 *Understand it like this...*

Think of the government as an over-protective parent who controlled almost everything in the economy — like a parent who won't let a grown child make any decisions. The 1990 BoP crisis was the wake-up call: over-caring wasn't working, so the "parent" had to loosen its grip and let the economy grow on its own.

🧠 Fig 1: The Four Pillars of NIP 1991



1️⃣ De-reservation of the Public Sector

The government said: "now we have to remove our hands from our child." Meaning — the government **reduced its shareholding** and brought in the **private sector**. Sectors that were earlier reserved **exclusively** for the public sector were reduced.

However, the public sector's **pre-eminent place** was continued in **five core areas**:

#	Core Sector (Public Sector Pre-eminent)
1	Arms & Ammunition
2	Atomic Energy
3	Mineral Oils
4	Rail Transport
5	Mining

But **today**, if we talk about it, monopoly remains in **only two sectors** — **Atomic Energy** and **Railway Operations**. The rest have since been opened up further.

❌ Common Mistake

Don't confuse the **1991 position** (5 core sectors kept pre-eminent for the public sector) with the **current position** (monopoly today survives in only 2 — Atomic Energy & Railway Operations). Things have opened up further since 1991!

🎯 Exam Tip

Remember the 5 core sectors as: **Arms, Atomic, Mineral oils, Rail, Mining (A-A-M-R-M)**. Of these, only **Atomic Energy** and **Railway Operations** remain public-sector monopolies today.

📖 The Big Picture (tap to expand) ▼

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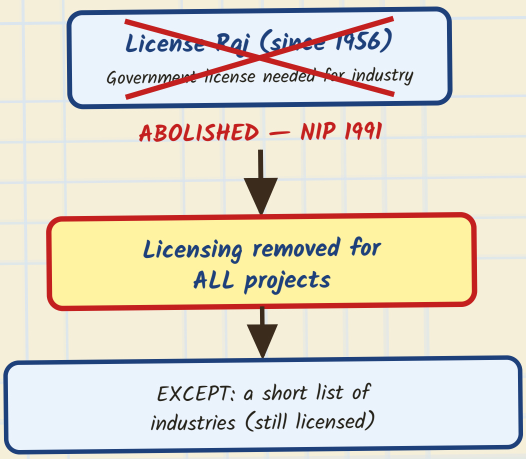
DE-LICENSING + DISINVESTMENT

2️⃣ De-licensing — License Raj Abolished

The **License Raj**, in place since 1956, was abolished. There was **abolition of industrial licensing** for all projects except for a **short list of industries**.

🏭 Fig 2: End of the License Raj



3️⃣ Disinvestment of the Public Sector

Disinvestment is correlated with de-licensing — both point towards the same underlying trend: **privatization**. The government began **selling off part of its stake** in public sector enterprises, reducing its own shareholding.

De-reservation → De-licensing → Disinvestment → Privatization

🧠 *Memory Trick*

Three "D's" of NIP 1991 → De-reservation, De-licensing, Disinvestment — all roads lead to one destination: Privatization!

❌ *Common Mistake*

Don't treat de-licensing and disinvestment as the same thing! **De-licensing** = removing the requirement of a government license to start/run an industry. **Disinvestment** = government reducing/selling its own ownership stake in public sector companies. Related, but not identical.

🧠 *Memory Trick*

Whenever you see "De-" in NIP 1991 — De-reservation, De-licensing — think "**government stepping back.**" Disinvestment is the government "cashing out" its own stake — same direction, different action.

LIBERALIZATION OF FOREIGN INVESTMENT

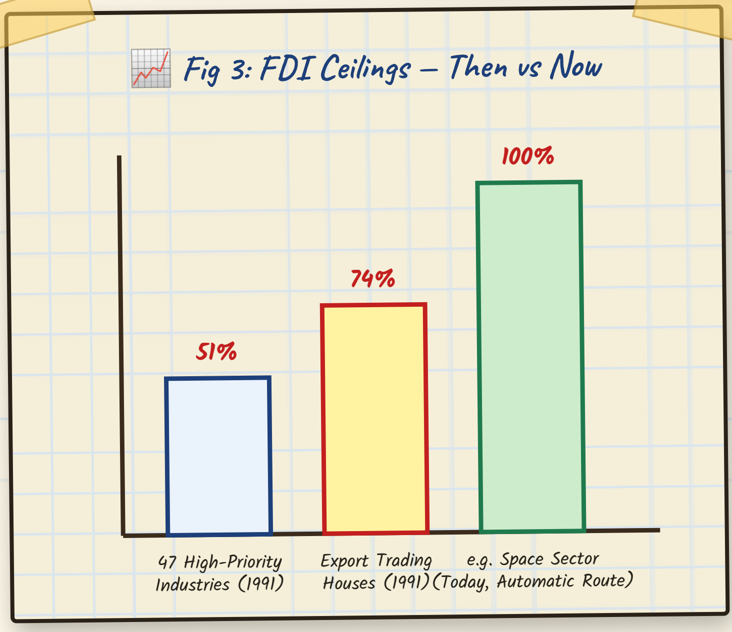
NIP 1991 was the **first industrial policy** in which **foreign companies were allowed to have a majority stake** in India. Until then, this had never happened — foreign investment could now be more than domestic ownership in specific priority industries.

4️⃣ FDI Caps Introduced in 1991

- For 47 high priority industries — FDI up to **51%** was allowed
- For **export trading houses** — FDI up to **74%** was allowed

💡 *Why 51%?*

If you hold 51% share in a company, you are its owner — you control it. Earlier, the government wasn't willing to hand over that "owner" status to foreign companies. In 1991, for the first time, it allowed this in high-priority industries.



FDI Today

Today, there are numerous sectors in the economy where the government allows 100% FDI — for example, the **space sector** allows 100% FDI through the **automatic route**. There are many other sectors where FDI is allowed through the automatic route (like 74%), and for the rest, **government approval** is required.

🎯 Exam Tip

Three FDI numbers to lock in: **51%** (47 high-priority industries, 1991), **74%** (export trading houses, 1991), **100%** (many sectors today, e.g. space — via automatic route).

❌ Common Mistake

Don't assume the **automatic route** applies to all FDI everywhere. It applies only up to the specified caps in permitted sectors — beyond those caps, or in other sectors, **government approval** is still required.

Rewriting the Rulebook: FTA, MRTP, FERA

5️⃣ Foreign Technology Agreement (FTA)

There was **automatic approval** for technology-related agreements — companies no longer needed to go through a lengthy approval process for foreign technology tie-ups.

6️⃣ MRTP Act Amended – Monopoly Curbs Removed

The **MRTP Act** (which restricted monopoly) was amended to **remove the threshold limit**. Earlier, if a company had a turnover of **Rs 500 crore or more**, the government kept continuous checks and balances on it — a "scanner" watching for anything wrong.

📌 🏢 **The Tata Example**

Companies like Tata had turnover well above Rs 500 crore — which should have been a matter of pride. Instead, the government kept a scanner on them even as they tried to expand, discouraging growth. It was, in effect, "shooting ourselves in the foot."

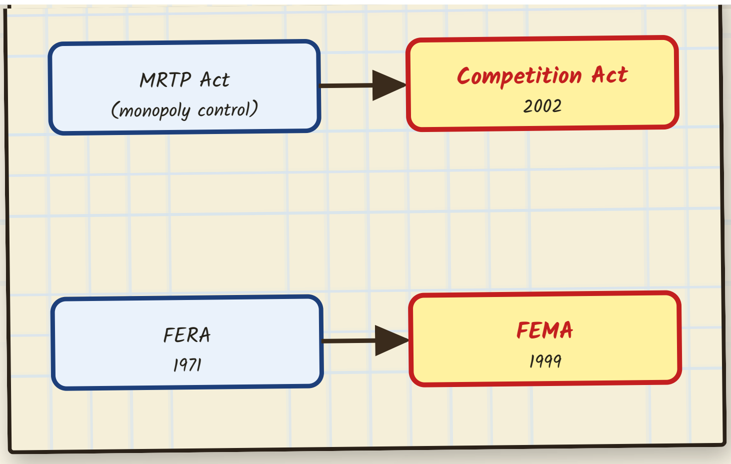
💬 *Big companies expanding their business faced heavy government documentation just because they crossed the Rs 500 crore mark – the realisation: this policy was hurting our own growth.*

This restriction was removed, and the **MRTP Act was replaced by the Competition Act, 2002**.

7️⃣ FERA (1971) → FEMA (1999)

The **Foreign Exchange Regulation Act (FERA), 1971** became the **Foreign Exchange Management Act (FEMA)** in 1999.

🧠 Fig 4: Old Laws → New Laws



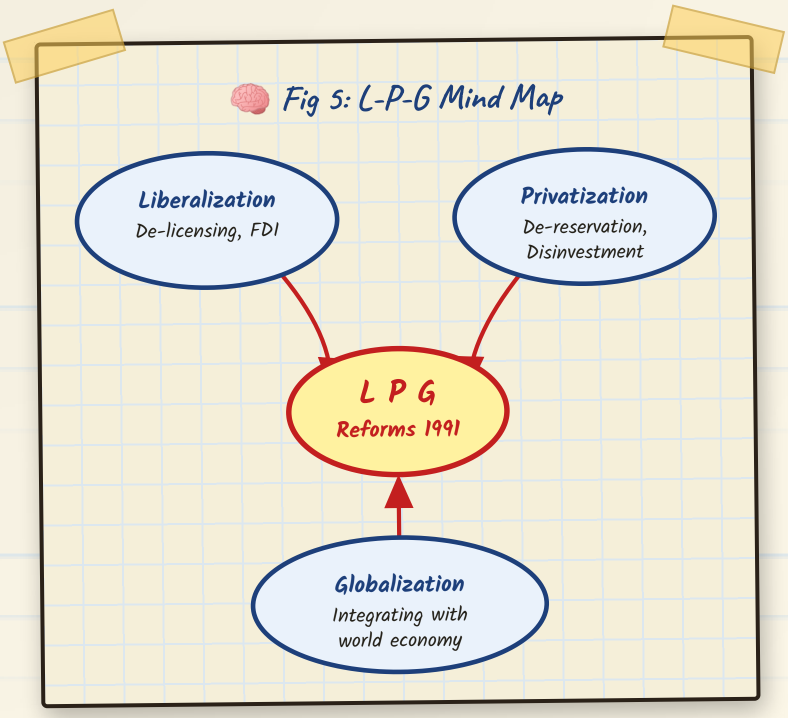
Old Act	Replaced/Renamed As
MRTP Act (monopoly control, 500 crore threshold)	**Competition Act, 2002**
FERA, 1971	**FEMA, 1999**

> ❌ **Common Mistake**
> Don't mix up the two! **MRTP Act → Competition Act (2002)** deals with *monopoly / restrictive trade practices*. **FERA → FEMA (1999)** deals with *foreign exchange regulation*. Two different problems, two different laws.

> 🧠 **Memory Trick**
> "MRTP got Competition" (2002) and "FERA became FEMA" (1999) — say it like a rhyme: **Competition beats Monopoly, Management beats Regulation.**

The Big Picture: L-P-G

All these changes — de-reservation, de-licensing, disinvestment, FDI liberalization, FTA, and the MRTP/FERA reforms — tell us about one overarching theme: **privatization**. Together with foreign investment coming in (**liberalization**) and India integrating its domestic economy with the rest of the world (**globalization**), these form the famous LPG framework of India's 1991 reforms.



Timeline — Reform Milestones

1990

Balance of Payments (BoP) crisis hits India.

1991

New Industrial Policy launched — de-reservation, de-licensing, disinvestment, FDI liberalization (51% / 74%), FTA automatic approval, MRTP threshold removed.

1999

FERA (1971) replaced by FEMA.

2002

MRTP Act replaced by the Competition Act.

📅 1991 = the year Liberalization, Privatization & Globalization began in India!

⭐ Exam-Ready Summary

- **Trigger:** 1990 Balance of Payments crisis

- **Policy:** New Industrial Policy, 1991 (India's latest — none since)
- **De-reservation:** Public sector pre-eminent in 5 sectors (arms, atomic energy, mineral oils, rail, mining); today monopoly only in 2 (atomic energy, railways)
- **De-licensing:** License Raj (1956) abolished, except a short list of industries
- **Disinvestment:** correlated with de-licensing → both signal privatization
- **FDI:** 51% in 47 high-priority industries; 74% for export trading houses; 100% in many sectors today (e.g. space, via automatic route)
- **FTA:** automatic approval for technology agreements
- **MRTP Act** (500 crore threshold removed) → replaced by **Competition Act, 2002**
- **FERA, 1971** → became **FEMA, 1999**
- **Overall theme:** Liberalization + Privatization + Globalization = LPG

> 🎯 Exam Tip
> If asked "what does NIP 1991 represent?" — just say three words: **Liberalization, Privatization, Globalization (LPG).**